Recoverable Amount

Ind AS 36

Financial Reporting

higher of two, always!

In simple words *If the asset's book value is more than what you can recover from it, write down the extra as impairment loss.*

1 Recoverable amount

Higher of an asset's fair value less costs of disposal and its value in use.

Higher, never lower!

2 Value in use

Present value of future cash flows expected from continuing use of the asset and its final disposal.

Use a pre-tax discount rate

1. Impairment loss arises when carrying amount is more than recoverable amount.
2. Recoverable amount = higher of FVLCD and value in use.
3. If either one is above carrying amount, there is no impairment and the other need not be estimated.
4. Loss goes to profit or loss, unless the asset is carried at revalued amount (treated as revaluation decrease first).



Swipe for the formula →

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The Impairment Test

Recoverable Amount (Ind AS 36)

three lines, full marks

Fair value less costs of disposal

FVLCD = FV − CD

FV = fair value (price in an orderly transaction); CD = incremental costs of disposal

Recoverable amount

RA = Higher of (FVLCD, VIU)

RA = recoverable amount; VIU = value in use (PV of future cash flows)

Impairment loss

Loss = CA − RA (only if CA > RA)

CA = carrying amount; RA = recoverable amount. If CA ≤ RA, loss is nil.

Pick the kinder number! Ind AS 36 takes the higher of the two values, so the asset is written down by the smaller amount.

Swipe for a memory trick →

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STUDY TRICK

Recoverable Amount (Ind AS 36)

remember the HIGH road

SELL OR USE? TAKE THE HIGHER

Management could sell the asset (FVLCD) or keep using it (VIU). A sensible owner picks the better route, so RA is the higher value.

HOW TO ATTEMPT IT

1 Find carrying amount (CA) → 2 Find FVLCD = FV – CD →

3 Compute VIU (PV of cash flows) → 4 RA = higher of the two →

5 Loss = CA – RA, if positive

EXAM TIP

Write the formula first, then state which of FVLCD or VIU is higher. Marks are given for the choice and the reason.

DOUBT BUSTER

Must I always compute both FVLCD and VIU? No. If one of them is already above carrying amount, the asset is not impaired and the other need not be estimated.

Swipe for common mistakes →

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COMMON MISTAKES

Recoverable Amount (Ind AS 36)

don't lose easy marks

✗ Taking the lower of FVLCD and VIU as recoverable amount

✓ Recoverable amount is the higher of FVLCD and value in use.

✗ Using fair value without deducting costs of disposal

✓ Deduct incremental costs of disposal from fair value to get FVLCD.

✗ Including finance costs and income tax cash flows in value in use

✓ VIU cash flows exclude financing activities and income tax receipts or payments.

✗ Discounting VIU cash flows at a post-tax rate

✓ Use a pre-tax discount rate that reflects current market assessments of time value and asset-specific risks.

TOMORROW'S CA FINAL MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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